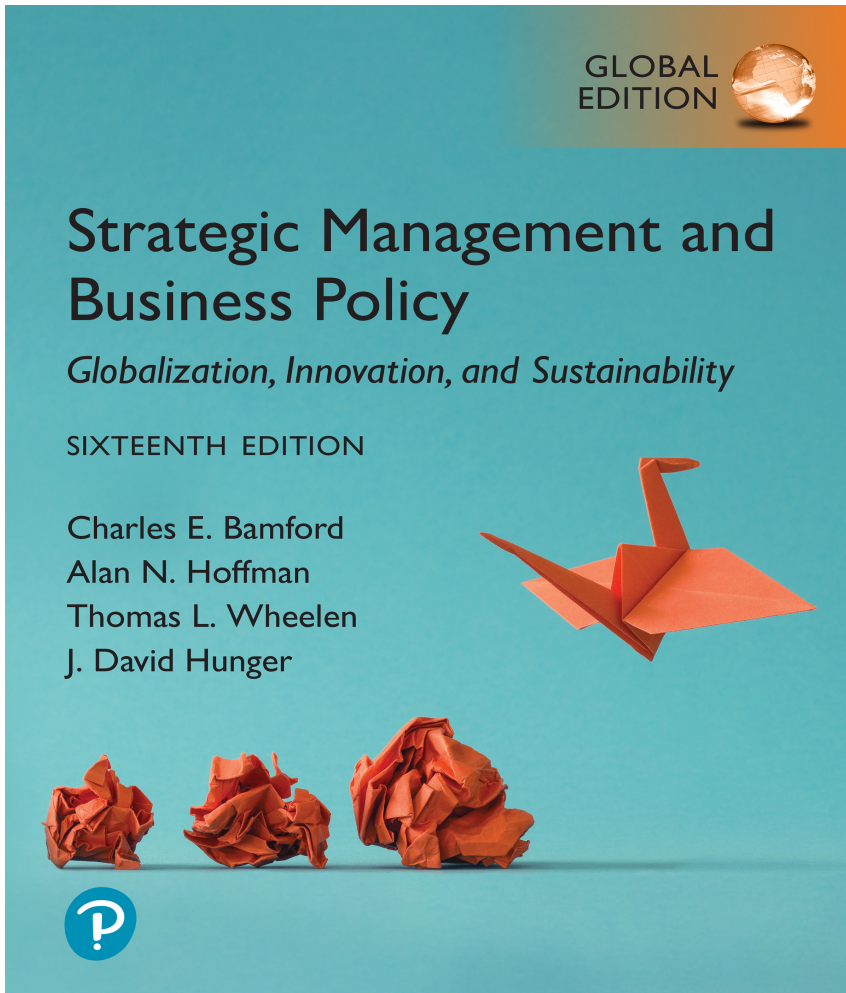


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 12

Evaluation and Re-assessment

Learning Objectives (1 of 2)

12.1 Explain how various types of measures and controls are utilized to properly assess performance including activity-based costing, ERM, ROI, and EVA

12.2 Develop a balanced scorecard to examine key performance measures of a company

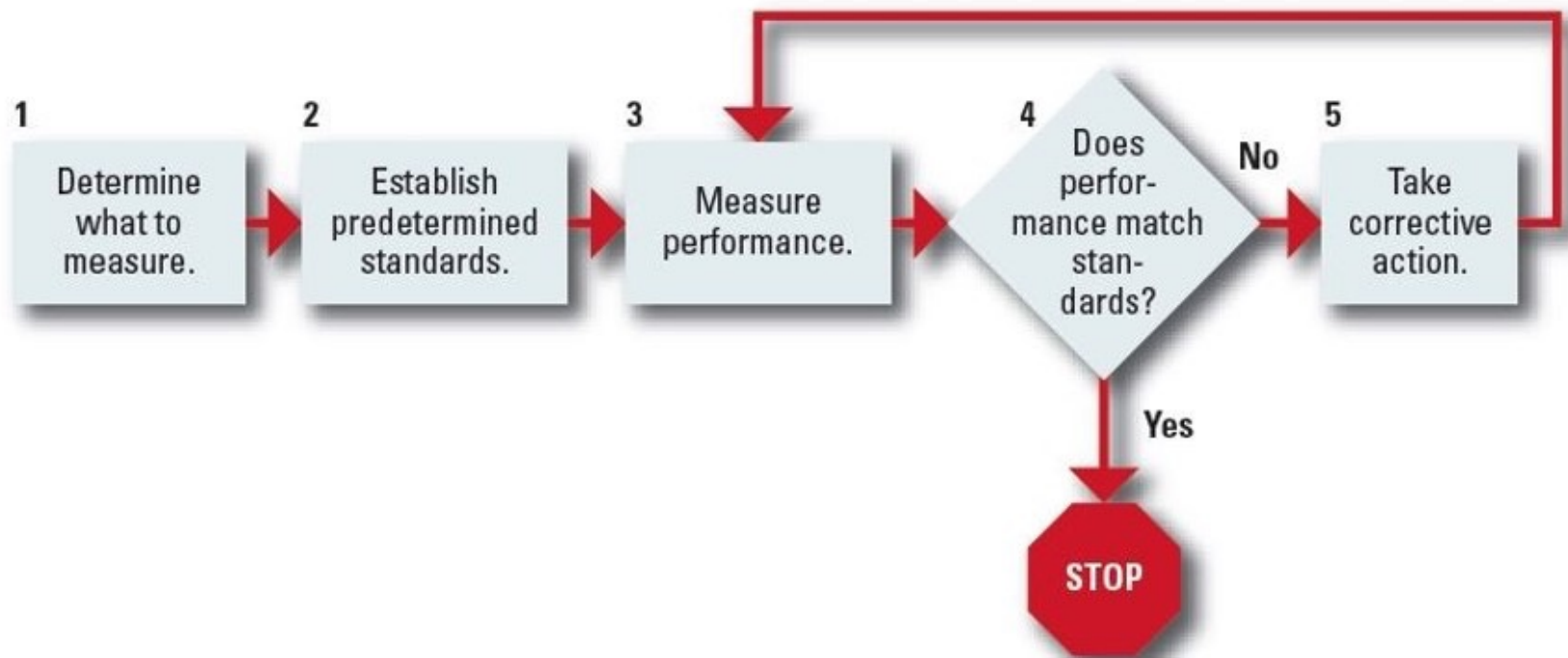
12.3 Apply the benchmarking process to a function or an activity

Learning Objectives (2 of 2)

12.4 Explain how strategic information systems are being utilized to support specific strategies

12.5 Discuss the issues with measuring organizational performance and how organizations can establish proper controls to achieve objectives

Figure 12-1 Evaluation and Control Process



Measuring Performance

- **Performance**
 - end result of activity
- One of the obstacles to effective control is the difficulty in developing appropriate measures of important activities and outputs.

Appropriate Measures

- **Steering controls**
 - measure variables that influence future profitability
- Cost per available seat mile (airlines)
- Inventory turnover ratio (retail)
- Customer satisfaction

Types of Controls (1 of 2)

- **Output controls**
 - specify what is to be accomplished by focusing on the end result through the use of objectives
- **Behavior controls**
 - specify how something is done through policies, rules, standard operating procedures and orders from supervisors
- **Input controls**
 - emphasize resources

Types of Controls (2 of 2)

- **ISO 9000 Series of Quality Standards**
 - a way of objectively documenting a company's high level of quality operations
- **ISO 14000 Series of Quality Standards**
 - establishes how to document the company's impact on the environment

Activity-Based Costing

- **Activity-based costing**
 - allocates indirect and direct costs to individual product lines based on value-added activities going into that product
- Allows accountants to charge costs more accurately since it allocates overhead more precisely.

Traditional Financial Measures (1 of 3)

- **Return on investment (ROI)**
 - result of dividing net income before taxes by the total amount invested in the company (typically measured by total assets)
- **Earnings per share (EPS)**
 - dividing net earnings by the amount of common stock

Traditional Financial Measures (2 of 3)

- **Return on equity (ROE)**
 - involves dividing net income by total equity
- **Operating cash flow**
 - the amount of money generated by a company before the cost of financing and taxes
- **Free cash flow**
 - the amount of money a new owner can take out of the firm without harming the business

Traditional Financial Measures (3 of 3)

Various non-financial performance measures used by internet business ventures include:

- **Stickiness**
 - length of website visit
- **Eyeballs**
 - number of people who visit a website
- **Mindshare**
 - brand awareness

Shareholder Value (1 of 3)

- **Shareholder value**
 - the present value of the anticipated future streams of cash flows from the business plus the value of the company if liquidated

Shareholder Value (2 of 3)

- **Economic value added (EVA)**
 - measures the difference between the pre-strategy and post-strategy values for the business.
 - after-tax operating income minus the total annual cost of capital

Shareholder Value (3 of 3)

- **Market value added (MVA)**
 - Measures difference between market value of a corporation and capital contributed by shareholders and lenders
- Measures the stock market's estimate of the net present value (NPV) of a firm's past and expected capital investment projects.

Balanced Scorecard Approach: Using Key Performance Measures (1 of 3)

- **Balanced scorecard**
 - combines financial measures that tell results of actions already taken with operational measures on customer satisfaction, internal processes, and corporation's innovation and improvement activities—the drivers of future financial performance

Balanced Scorecard Approach: Using Key Performance Measures (2 of 3)

In the balanced scorecard, management develops goals or objectives in each of four areas:

1. **Financial:** How do we appear to shareholders?
2. **Customer:** How do customers view us?
3. **Internal business perspective:** What must we excel at?
4. **Innovation and learning:** Can we continue to improve and create value?

Balanced Scorecard Approach: Using Key Performance Measures (3 of 3)

- **Key performance measures**
 - measures that are essential for achieving a desired strategic option

Evaluating Top Management and the Board of Directors

- Through its strategy, audit, and compensation committees, a board of directors is charged with closely evaluating the job performance of the CEO and the top management team.
- According to a recent survey, boards evaluate CEOs on:
 - Financial measures (98%)
 - Leadership (77%)
 - Succession planning (65%)
 - Customer satisfaction (37%)
 - Innovation (24%)

Chairperson-CEO Feedback Instrument

Questionnaire focuses on **four key areas**:

1. Company performance
2. Leadership of the organization
3. Team building and management succession
4. Leadership of external constituencies

Management Audits

- **Management audits**
 - developed to evaluate activities such as corporate social responsibility, functional areas like the marketing department, and divisions such as the international division
 - useful to boards of directors in evaluating management's handling of various corporate activities

Strategic Audits

- **Strategic audits**
 - provides checklist of questions, by area or issue, enabling systematic analysis of various corporate functions and activities to be made
 - useful as diagnostic tool to pinpoint corporate wide problem areas and to highlight organizational strengths and weaknesses

Using Benchmarking to Evaluate Performance (1 of 2)

- **Benchmarking**
 - the continual process of measuring products, services, and practices against the toughest competitors or those companies recognized as industry leaders

Using Benchmarking to Evaluate Performance (2 of 2)

1. Identify area or process to be examined
2. Find behavioral and output measures
3. Select accessible set of competitors of best practices
4. Calculate differences among company's performance measurements and competitors; determine why differences exist
5. Develop tactical programs for closing performance gaps
6. Implement the programs and compare the results

Strategic Information Systems (1 of 3)

- **Enterprise resource planning (ERP)**
 - unites all of a company's major business activities, from order processing to production, within a single family of software modules
 - provides instant access to critical information to everyone in the organization, from the CEO to the factory floor worker

Strategic Information Systems (2 of 3)

Enterprise resource planning (ERP) can fail for three reasons:

1. Insufficient tailoring of software to fit the company
2. Inadequate training
3. Insufficient implementation support

Strategic Information Systems (3 of 3)

- **Radio frequency identification (RFID)**
 - an electronic tagging technology used to improve supply chain efficiency
- **Divisional and functional strategic information support**
 - used to support, reinforce, or enlarge business level strategy throughout the decision support system

Problems in Measuring Performance

- Lack of quantifiable objectives or performance standards
- Inability to use information systems to provide timely and valid information

Guidelines for Proper Control (1 of 2)

1. Controls should involve only the minimum amount of information needed to give a reliable picture of events.
2. Controls should monitor only meaningful activities and results, regardless of measurement difficulty.
3. Controls should be timely so that corrective action can be taken before it is too late.

Guidelines for Proper Control (2 of 2)

4. Long-term and short-term goals should be used.
5. Controls should aim at pinpointing exceptions.
6. Emphasize the reward of meeting or exceeding standards rather than punishment for failing to meet standards.

Figure 12-2 Business Strength/Competitive Position

		Business Strength/Competitive Position	
		High	Low
Industry Attractiveness	High	Star ROI (25%) Cash Flow (25%) Strategic Funds (25%) Market Share (25%)	Question Mark ROI (0%) Cash Flow (0%) Strategic Funds (50%) Market Share Growth (50%)
	Low	Cash Cow ROI (20%) Cash Flow (60%) Strategic Funds (0%) Market Share (20%)	DOG ROI (50%) Cash Flow (50%) Strategic Funds (0%) Market Share (0%)

Source: Suggested by Paul J. Stomach in “The Performance Measurement and Reward System: Critical to Strategic Management,” **Organizational Dynamics**, (Winter 1984), pp. 45–57.

Q & A